

EQUITY RESEARCH · COMPANY DEEP DIVE

Cisco Systems, Inc. (CSCO.US)

Technology · Communication Equipment

Large Cap (>\$200B) · Report Date: August 17, 2026

Latest financials: Q3 FY2025 · Model data as of 2026-08-17

BUY

Composite · Valuation: BUY

Target \$177.44 · +57.1% upside

Price \$112.96

INVESTMENT HIGHLIGHTS

- **BUY** — blended target \$177.44 (+57.1% vs \$112.96); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	BUY	Blended PT \$177.44	45%
FSA	Strong	Health +0.35 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +74%	15%
Composite	BUY	Score +0.66 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

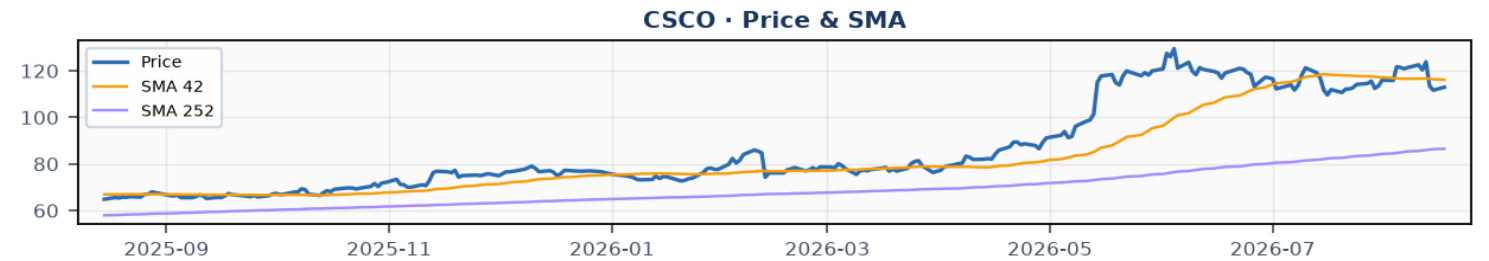
INVESTMENT THESIS / EXECUTIVE SUMMARY

Cisco Systems, Inc. (CSCO) — Technology. Cisco Systems, Inc. designs, develops, and sells technologies that help to power, secure, and draw insights from the internet in the Americas, Europe, the... **BUY** rating; blended target \$177.44. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$445.22B	Shares Out.	3941.4M
52-Week Range	\$65.75 – \$130.37	P/E (TTM)	33.9x
P/B	8.9x	Beta	1.00
Avg Volume	24.56M	Analyst Rec.	Buy
Revenue (TTM)	\$63.32B	Rev Growth	+17.6%
Op. Margin	27.7%	FCF (TTM)	\$13.29B
Gross Margin	64.6%	ROE	27.3%
EV/EBITDA	24.4x	Debt/Equity	58.7%
EPS (TTM)	\$3.33	Div Yield	1.5%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	53,803	56,654	66,625	75,333	82,790
Revenue Growth (%)	N/A	5.3%	17.6%	13.1%	9.9%
Net Income (\$M)	10,320	10,180	11,972	13,536	14,876
Gross Margin (%)	64.7%	64.9%	64.6%	64.6%	64.6%
Net Margin (%)	19.2%	18.0%	18.0%	18.0%	18.0%
EPS (\$)	2.62	2.58	3.04	3.43	3.77
P/E (x)	43.14	43.74	37.19	32.89	29.93

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$116.23	Short-term trend	12m Momentum	+74.2%	
SMA (252d)	\$86.54	Long-term trend	3m Momentum	-4.6%	
RSI (14d)	46.2	Momentum oscillator	Ann. Volatility	25.8%	
Trend	Bullish		Sharpe Ratio	0.56	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-36.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+45.1%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$116.23, SMA252=\$86.54	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	23.4%	B&H; 28.3%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$81.75	-27.6%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$188.11	+66.5%	80%	Included in blend
Analyst consensus	\$134.77	+19.3%	20%	Included in blend
Blended target	\$177.44	+57.1%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
9.51%	4.00%	8.80%	\$322.19B	\$81.75	-27.6%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ANET	Arista Networks, Inc.	\$252.23B	63.3x	51.2x	38.4%	+37.7%
MSI	Motorola Solutions, In	\$76.54B	36.4x	22.9x	17.4%	+13.3%
JNPR	JNPR	N/A	N/A	N/A	N/A	N/A
CIEN	Ciena Corporation	\$62.37B	146.9x	77.7x	7.9%	+39.5%
CSCO*	Cisco Systems, Inc.	\$445.22B	33.9x	24.4x	21.0%	+17.6%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.6% YoY); High operating leverage (27.7% margin); Sector: Technology | Industry: Communication Equipment · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.